The service cost component of net pension expense represents the estimated cost of future pension liabilities earned associated with active employees. The pension earnings, interest and deferrals ("pension EID") is comprised of the expected return on plan assets, interest costs on the projected benefit obligations of the plans and amortization of actuarial gains and losses and prior service costs.

Net pension expense is recorded in accounts that are included in both the cost of sales and selling, general and administrative expenses based on the function of the associated employees and in other income (expense), net. The following is a summary of the classification of net pension expense for the years ended June 30, 2019, 2018 and 2017:

	Years Ended June 30,		
($ in millions)	**2019**	**2018**	**2017**
Cost of sales			
Service cost	$ 10.0	$ 10.5	$ 20.2
Total cost of sales	10.0	10.5	20.2
Selling, general and administrative expenses			
Service cost	1.5	1.6	3.9
Total selling, general and administrative expenses	1.5	1.6	3.9
Other expense			
Pension earnings, interest and deferrals	0.1	2.1	23.8
Curtailment charge	—	—	0.5
Total other expense	0.1	2.1	24.3
Net pension expense	$ 11.6	$ 14.2	$ 48.4

As of June 30, 2019 and 2018, amounts capitalized in gross inventory were $1.7 million and $1.7 million, respectively.

Operating Performance Overview

We believe fiscal year 2019 was a successful year as strong execution of our commercial and manufacturing strategies combined with growing market demand across most markets resulted in our best operating income performance since fiscal year 2013. We made significant progress in the following areas:

- We expanded customer relationships through market share gains with new and existing customers based on the strength of our solutions focused customer approach.
- Through the ongoing implementation of the Carpenter Operating Model, we have unlocked incremental capacity through efficiency and productivity improvements across our SAO and PEP businesses.
- Our Athens, Alabama facility continues to gain qualifications of submitted Aerospace Vendor Approved Processes contributing to increased capacity.
- We expanded our leading additive manufacturing platform with the acquisition of LPW Technology Ltd.
- We increased our focus and investment in core growth areas such as additive manufacturing and soft magnetics.

Results of Operations — Fiscal Year 2019 Compared to Fiscal Year 2018

For fiscal year 2019, we reported net income of $167.0 million, or $3.43 per diluted share. Excluding special items, earnings per share would have been $3.46 per diluted share for fiscal year 2019. This compares with net income of $188.5 million, or $3.92 per diluted share, a year earlier. Excluding special items, earnings per share would have been $2.50 per diluted share for fiscal year 2018. Our fiscal year 2019 results reflect strong market conditions combined with our solutions focused approach that drove increasing sales in the majority of our end-use markets and further implementation of the Carpenter Operating Model.